

Root Cause Analysis

Problem Statement : You are a PM at Amazon and you have noticed that there is a drop in user retention by 5% on Amazon. Identify the root cause of the issue and solve it.

Clarifying Questions :

Q1 : What do we mean by user retention ?

Ans : Users who returned to the platform either within 4 days or 7 days after their initial visit.

Q2: This issue is on which Amazon's business, Music, Prime, Kindle or e-commerce ?

Ans : Its on Prime

Q3 : Is this specific to any particular subscription pricing ?

Ans : No, its across all

Q4 : Since when we are facing this issue ?

Ans : From last 10 days

Q5: Was this gradual or sudden decline ?

Ans : Gradual decline

Q6 : Is this decline across app or website ?

Ans :On both the platforms.

Q7 : Is this decline across a specific place ?

Ans : No

Q8 : Is this decline among a specific demography of people ?

Ans : No

Q9 : Have we changed the definition of metric on how we calculate ?

Ans : No

Q10 : Is our metric tool working fine ?

Ans : Yes

Q11 : Is this decline specific to any app type like Android or Website ?

Ans : No

Q12 : Is this decline specific to any movie genre ?

Ans : No, the decline is across all the genre of movies.

Q13 : This is decline is under movies or TV shows ?

Ans : The decline is across both.

Q14 : Any specific language of entertainment that has been affected ?

Ans : Nothing as such

Q15 : Have we seen any decline in average watch time of users ?

Ans : No there has been no decline in that.

Structure : First I would like to focus on External factors, then would focus on Internal Factors and finally on the customer journey.

External Factors :

Q1 : Is there rise of a new competitor ?

Ans : No

Q2 : Have the existing competitors decreased their subscription prices or announced new offers?

Ans : No

Q3: Is this decline industry wide ?

Ans : No

Q4 : Has government put any regulations on us ?

Ans : No

Q5 : Are there any bad PRs against us ?

Ans : Yes, there are some but this is not quite significant to cause such a huge decline.

Internal Factors :

Q1 : Have we increased the price of subscription ?

Ans : No

Q2 : Has there been any major UI/UX change ?

Ans : No major as such, but we deployed a feature to mark certain contents (like movies, web-series etc.) with a label of Rent.

Q3 : Has there been any decrease in content on the platform ?

Ans : No

Q4 : Have we changed the revenue model ?

Ans : Yes, there has been a little change in the revenue model.

Q5 : What change it is ?

Ans : We have also started the movie/web series rental business.

Q6 : What it is ?

Ans : Using this a user can rent and watch a movie.

Q7 : Does the user who has prime subscription also need to purchase a movie on rent ?

Ans : Yes, a prime user will have to pay for the rental movie.

User Journey :

Q1 : Is there any decline in users signing up or logging in ?

Ans : No there is no decline

Q2 : Is there any decline in users searching any movie/web-series ?

Ans : No there is no decline in that.

Q3 : Is there any decline in # of users who watched the searched movie/# of users who searched the movie ?

Ans : Yes there is.

Q4 : The users who dropped after searching, were the movies searched by them are on rent ?

Ans : Yes most of the users dropped because of this.

Q5 : Did the user who dropped off come back again after 4 days or 7 days ?

Ans : No they did not come back after 4 days and even after 7 days.

Analysis of user journey has confirmed that Amazon Prime's new rental business has led to decline the user retention, as people have to pay again to watch a movie, even after buying Amazon Prime's subscription.